Neo Bank Churn Analysis

Understanding User Behavior & Retention Drivers

- *Objective: analyze customer behavior and churn drivers*
- *Dataset includes: user demographics, transaction activity, notification exposure*
- *Goal: identify **high-risk users** and **improve retention strategies***

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Why Churn Matters

- *Customer growth is strong, but churn remains significant*
- *Losing users reduces long-term revenue*
- *Identifying early churn signals allows proactive action*

Key Question

*What makes users **stay** and what makes them **leave**?*

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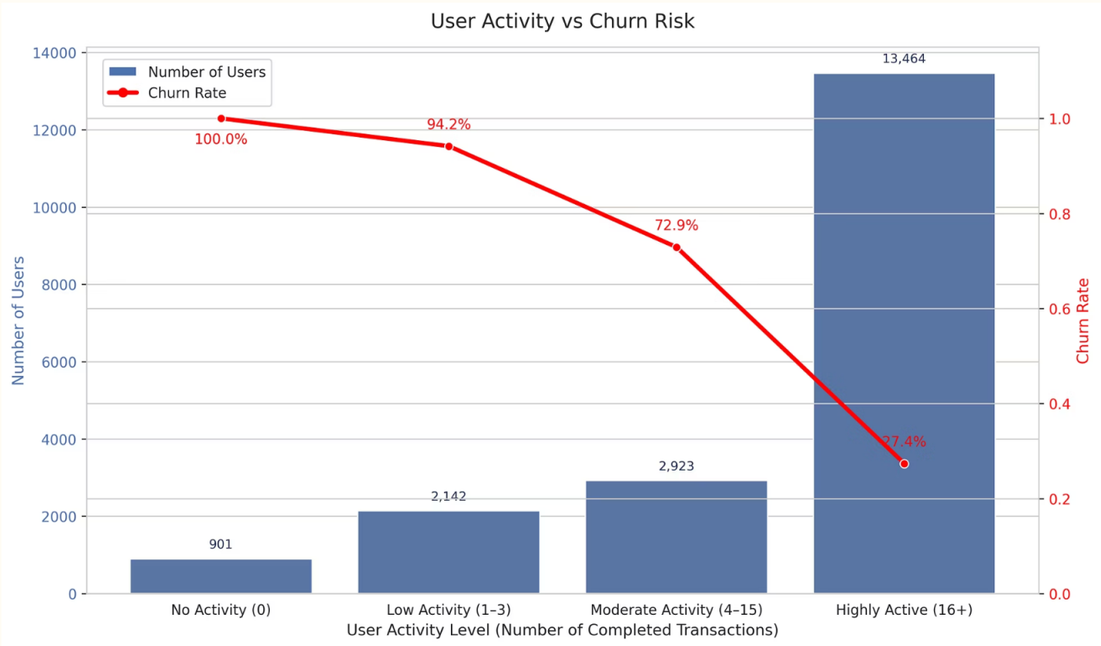
User Activity is the Strongest Churn Indicator

Key Insights

- *Users with **no activity** have nearly **100% churn***
- *Low activity users still show very high churn (~94%)*
- *Highly active users show **<u>much lower churn (~27%)</u>***

Conclusion

- *User engagement is the strongest predictor of retention.*



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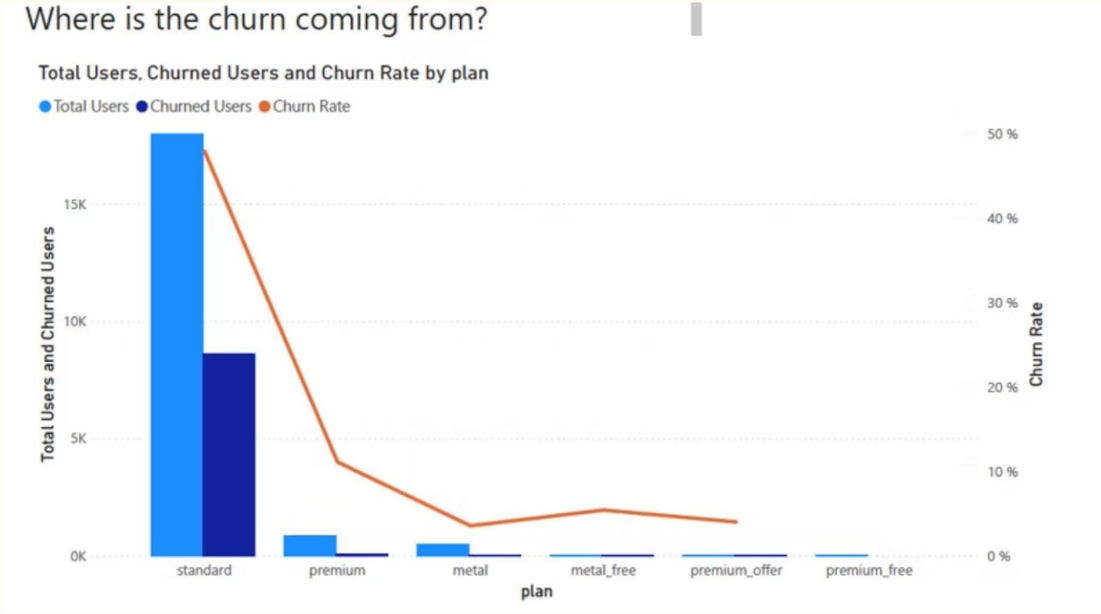
Churn by Subscription Plan

Insights

- *The **Standard plan** contains the majority of users*
- *It also generates the **largest share of churn***
- *Premium and Metal plans show lower churn*

Interpretation

- *Higher-value users tend to be more engaged.*



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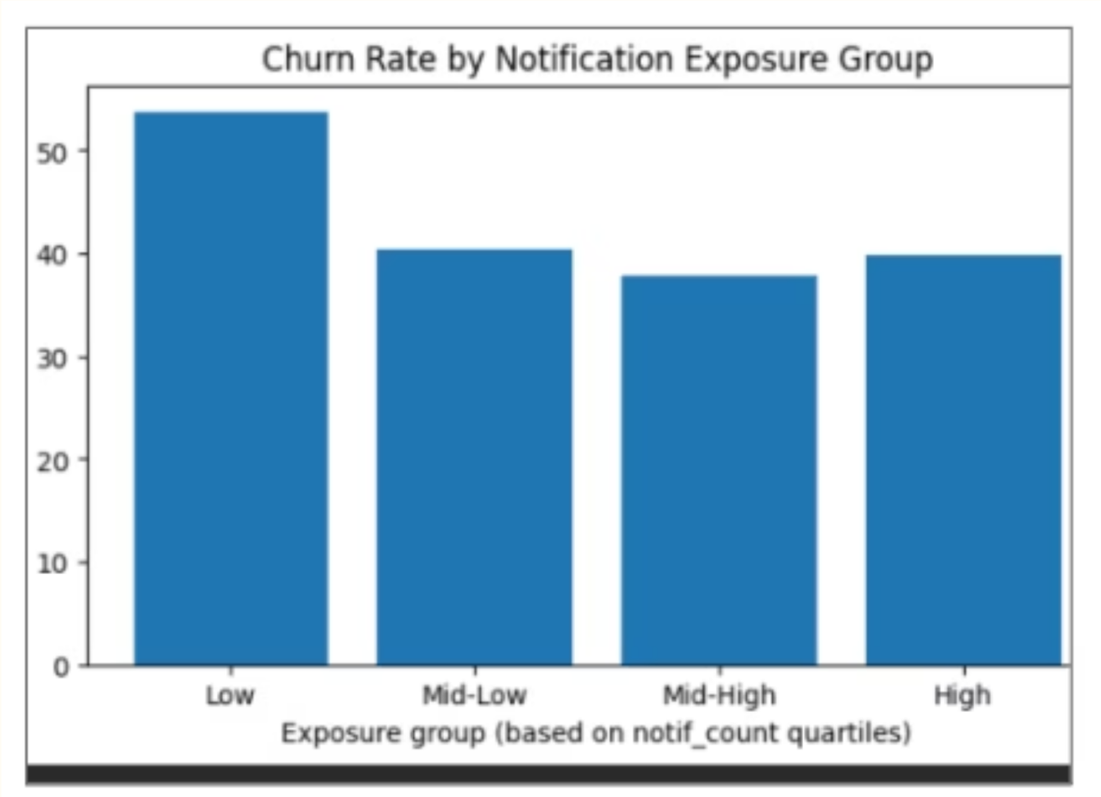
Communication Influences User Retention

Insights

- *Users receiving **very few notifications** have the highest churn*
- *Moderate notification exposure reduces churn*
- *Too many notifications may increase churn again*

Conclusion

- *Balanced communication improves engagement.*



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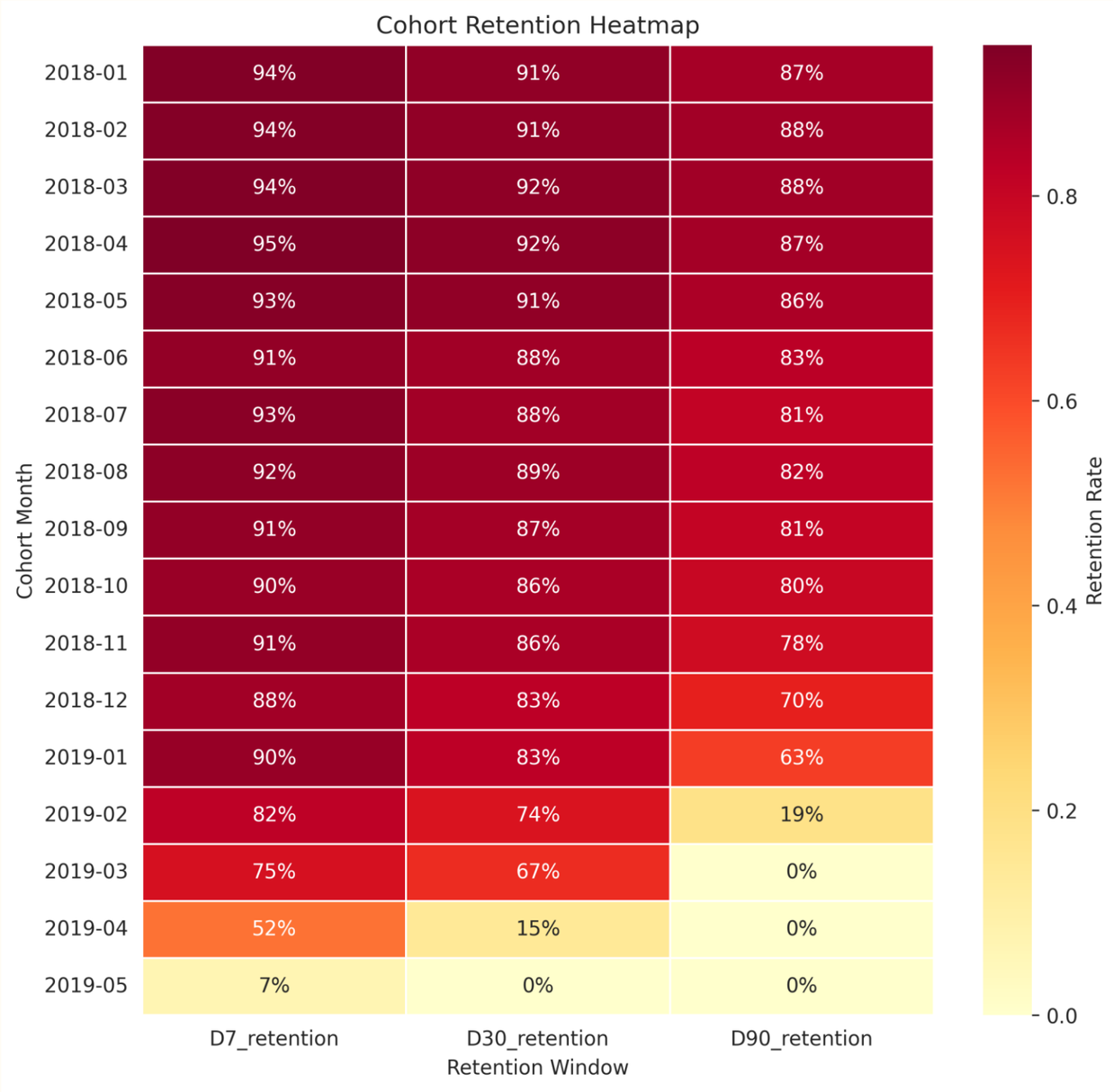
Early Engagement Drives Long-Term Retention

Insights

- *Most users remain active in the first days*
- *Retention gradually declines over time*
- *Early activity strongly predicts long-term engagement*



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Business Recommendations

1 Increase early engagement

- *Onboarding tutorials*
- *Incentives for first transactions*

2 Monitor inactivity signals

- *Detect users with low activity*
- *Trigger re-engagement campaigns*

3 Optimize notification strategy

- *Personalized notifications*
- *Avoid over-communication*

4 Focus on high-impact segments

- *Standard plan users*
- *Low-activity users*

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Key Takeaway

User churn is mainly driven by:

- *Low engagement*
- *Inactivity*
- *Poor communication strategy*

➡ *Improving engagement and targeted retention actions can significantly reduce churn.*

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